

Non-Owned and Borrowed Vehicle Coverage Guide

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This guide expands on the Named Non-Owner Coverage endorsement (END-NN-01) and the general non-owned-vehicle provisions referenced throughout Policy Wording Parts A, B, C, and D.

1. Default Position: Coverage Follows the Vehicle, Not the Driver's Policy

Under most Personal Auto structures, liability coverage for a vehicle is primarily carried by the vehicle's own policy; the policyholder's own Meridian Mutual policy provides liability coverage while driving a non-owned vehicle only on an excess basis, over and above whatever coverage the non-owned vehicle's own policy provides, unless a specific endorsement changes this default.

2. Occasional Use of a Borrowed or Rental Vehicle

Where the policyholder occasionally drives a vehicle they do not own (a borrowed car, a rental during travel) with the owner's permission, Part A liability coverage extends on the excess basis described in Section 1. Part D and Part C physical damage coverage for the non-owned vehicle itself follows the terms of any Physical Damage on Rental/Borrowed Vehicle provision in the Policy Wording, which is narrower than the coverage that applies to a listed covered auto.

3. Named Non-Owner Coverage (END-NN-01)

A policyholder who does not own any vehicle but regularly drives others' vehicles or rental vehicles may purchase Named Non-Owner Coverage, which makes the policyholder (rather than a specific vehicle) the primary insured for liability purposes while driving a non-owned vehicle with permission. This endorsement does not provide Part D or Part C physical damage coverage for the non-owned

vehicle — it is a liability-only endorsement, and this limitation is stated explicitly because it is a common point of policyholder confusion.

4. Regular Use Exclusion

A vehicle furnished or available for the policyholder's regular use, but not listed on the Declarations page (for example, a company car driven daily, or a household member's vehicle not added to the policy), is typically excluded from the "non-owned vehicle" coverage extensions in Sections 1 and 2 — those extensions are designed for occasional, not regular, use of another vehicle. A claim involving a vehicle used with sufficient regularity is reviewed against this exclusion before any non-owned-vehicle coverage is applied.

5. Permission Requirement

Coverage under Sections 1 through 3 requires that the policyholder had the vehicle owner's permission to drive it; a claim arising while driving a vehicle without the owner's permission (including a family member's vehicle taken without asking) does not qualify for non-owned-vehicle coverage under this corpus's Policy Wording, and is evaluated instead under any applicable exclusion for unauthorized use.

6. Business Use of a Non-Owned Vehicle

Non-owned vehicle coverage under a personal auto policy is intended for personal, not business, use; a policyholder driving a non-owned vehicle in the course of business activity (beyond ordinary commuting) is reviewed against the business-use exclusion referenced in the Standard Exclusions reference, independent of the non-owned-vehicle analysis in Sections 1 through 5.

7. Rental Vehicle Physical Damage — Relationship to Credit Card or Rental Company Coverage

Where a policyholder has physical damage coverage for a rental vehicle available through a credit card benefit or purchased directly from the rental company, Meridian Mutual's own non-owned-vehicle physical damage terms (Section 2) apply independently and do not require the policyholder to exhaust the other source first, unless the Policy Wording's other-insurance provision states otherwise for this specific scenario — the adjuster confirms which order of payment applies before finalizing a physical-damage payout on a rental vehicle claim.

8. Documentation Standard

A non-owned-vehicle claim file documents: whether the policyholder holds Named Non-Owner Coverage (Section 3) or is relying on the general extensions (Sections 1-2), the ownership and permission status of the vehicle driven (Section 5), whether regular-use (Section 4) or business-use (Section 6) considerations apply, and the specific Policy Wording or endorsement section relied upon for the final determination.